IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)88/BB/2017

Under Sections 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALAGAMATION
IN THE MATTER OF
MCML ELECTRICAL SYSTEMS PRIVATE LIMITED
WITH
MCML TRAIN CONTROL TECHNOLOGIES PRIVATE LIMITED
AND
MCML SYSTEMS PRIVATE LIMITED

Order delivered on 11TH January, 2018

Coram: Hon'ble Shri RatakondaMurali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s) Sri Vinod Sunder Raman, PCS
Sri Ravi Kumar T.L., PCS

1. MCML ELECTRICAL SYSTEMS PRIVATE LIMITED
Registered Office at C-9, KSSIDC Industrial Estate
Yelahanka, Bengaluru – 560 106 ..1st Applicant/Transferor

2. MCML TRAIN CONTROL TECHNOLOGIES PRIVATE LIMITED
Registered Office at C-9, KSSIDC Industrial Estate
Yelahanka, Bengaluru – 560 106 .. 2nd Applicant/Transferor

3. MCML SYSTEMS PRIVATE LIMITED
Registered Office at C-9, KSSIDC Industrial Estate
Yelahanka, Bengaluru – 560 106 .. 3rd Applicant/Transferee

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 13.12.2017, 18.12.2017, 04.01.2018

ORDER

This Application is filed on behalf of the Applicant Company under Section 230 and 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangement and Amalgamation)Rules,2016, praying to order to direct that the meeting of Equity Shareholders of the 2nd Applicant Company and Unsecured Creditors of the 3rd Applicant Company be held for considering the Scheme of Amalgamation, where under the

1st Applicant MCML ELECTRICAL SYSTEMS PRIVATE LIMITED (Transferor Company) and 2nd Applicant MCML TRAIN CONTROL TECHNOLOGIES PRIVATE LIMITED (Transferor Company), are to be merged with MCML SYSTEMS PRIVATE LIMITED, the 3rd Applicant (Transferee Company). The Scheme of Amalgamation shown as **Annexure-K.**

The averments made in the Company Application are briefly described hereunder:-

The 2nd Applicant Company seeks an order for convening of the Meeting of Equity Shareholders and the 3rd Applicant Company seek an order for convening of the Meeting of the Unsecured Creditors for considering the Scheme of Amalgamation in terms of Scheme of Amalgamation shown as **Annexure-K.** Further the 1st Applicant Company and the 3rd Applicant company seek for dispensing with the meeting of the shareholders as they have given their consent in writing and 1st Applicant Company and 2nd Applicant Company seek for dispensing with meeting of Unsecured Creditors as they have given their consent in writing.

It is averred that the 1st Applicant/Transferor Company was incorporated on 24.12.2007 in the State of Karnataka with registration No.U35203KA2007PTC044673. The Registered office of the 1st Applicant Company is situated at C-9, KSSIDC Industrial Estate, Yelahanka, Bengaluru-560 106. The Applicant Company was incorporated to carry on the business of designing, manufacturing and installing Railway Electrification related equipment.

The authorized share capital of 1st Applicant Company as on 31st March 2017 is Rs.2,10,00,000/- divided into 21,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.5,00,000/- divided into 50,000 Equity Shares of Rs.10/-each. The 1st applicant is a wholly owned subsidiary of the Transferee Company which holds the entire share capital of the 1st Applicant Company.

It is averred that the 2nd Applicant/Transferor Company was incorporated on 26.12.2007 in the State of Tamil Nadu. Subsequently on 05.10.2010 the Registered Office was shifted to Karnataka with registration No.U29200TN2007PTC065823. The Registered office of the 2nd Applicant Company is situated at C-9, KSSIDC Industrial Estate, Yelahanka, Bengaluru-560 106. The main objects of the 2nd Applicant Company was (1) to carry on the business of design, development and implementation of technologies used in Train Control

Systems with various technologies that relating to design and development of remote control system for train traffic, development of microprocessor based electronic interlocking system, train protection and warning system and any other system related to safety critical systems. (2) to carry on the business of design and development of automation and simulation tools for various applications of Train Control System.

The authorized share capital of 2nd Applicant Company as on 31st March 2017 is Rs.1,60,00,000/- divided into 16,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs. 1,00,000/- divided into 10,000 Equity Shares of Rs.10/-each. The 2nd applicant is a wholly owned subsidiary of the Transferee Company which holds 80% of the share capital of the 2nd Applicant Company.

It is further averred in the Application that the 3rd Applicant/Transferee Company was incorporated on 9th August 1999 under the name and style of MCML Systems Private Limited with the Registrar of Companies, Karnataka. vide CIN bearing No.U32109KA1999PTC025579. The Registered office of the 3rd Applicant Company is situated at C-9, KSSIDC Industrial Estate, Yelahanka, Bengaluru-560 106.

The main objects of the 3rd Applicant Company is to carry on the business of (1) designing, manufacturing, erecting, installation, commissioning, importing, exporting, buying, selling, exchanging, distributing, repairing and servicing of Railway Signalling and Telecommunications Equipment. (2) Execution of project Management and Project Consultancy for all Railway Projects. (3) Development of Geographical information system, Railway Signalling Software and other Software. (4) Deployment of Railway Professionals and Software Professionals. The copy of Memorandum and Articles of Association of the Applicant Company is shown as **Annexure-A.**

The authorized share capital of 3rd Applicant Company as on 31st March 2017 is Rs.,12,00,00,000/- divided into 12,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.6,47,26,370/- divided into 64,72,637 Equity Shares of Rs.10/-each.

It is further stated that, the Board of Directors of the 1st Applicant Company, 2nd Applicant Company and 3rd Applicant Company have approved and adopted a Scheme of Amalgamation of McML Electrical Systems Private Limited and McML Train Control Technologies Private Limited and McML Systems Private Limited at separate meetings held

on 8th November, 2017 by the respective Applicants by virtue of which 1st Applicant Company McML Electrical Systems Private Limited (Transferor Company) and 2nd Applicant Company McML Train Control Technologies Private Limited are to be merged with McML Systems Private Limited (3rd Applicant/Transferee Company) subject to confirmation. A copy of the Board Resolutions of the 1st Applicant Company, 2nd Applicant Company and 3rd Applicant Company dated 8th November, 2017 in approving and adopting the Scheme of Amalgamation are shown as **Annexure-G, H and J** respectively. The Scheme of Amalgamation is produced as **Annexure-K.**

It is stated that no investigation proceedings are pending against the 1st Applicant Company, 2nd Applicant Company and 3rd Applicant Company respectively under Sections 235 to 251 or any other provisions of the Companies Act, 1946 or Sections 206 to 229 of the Companies Act, 2013.

It is further stated that since the Transferor Company No.1 is a wholly owned subsidiary of the Transferee Company, there is no change in the intrinsic value of shares of the shareholder and there will not be any share consideration required for this amalgamation in respect of the amalgamation of the Transferor Company No.1 into the Transferee Company. Further, it is also submitted that since the Transferor Company No.2 is also a subsidiary of the Transferee Company, there will not be any share consideration paid for this amalgamation in respect of such shares held. In respect of the shares in the Transferor Company No.2 held by minority shareholders, the Transferee Company shall pay Rs.10/- per Equity Share held by the minority shareholders and would not pay any consideration by issue of fresh shares.

It is also submitted that the Scheme does not affect the rights and interest of the creditors of the Transferee Company.

It is further stated by the Chartered Accountant after verification of the books of accounts and other records and documents of the 1st Applicant Company that there are only two shareholders and they have given their consent for the amalgamation in writing. The list of shareholders duly certified by the Chartered Accountant is marked as **Annexure-L.** A copy of the consents given by the shareholders is produced herewith and marked as **Annexure-S Colly.**

It is submitted that there are six Equity shareholders in the 2nd Applicant Company of which McML Systems Private Limtied and its nominee shareholder Sri K.R.Somasekhar, who together hold 8000 Equity Shares consisting of 80% of the paid up share capital of the Company and have given their consent to the Scheme in writing. The list of shareholders is produced and marked as **Annexure-M.** A copy of the consents given by the two shareholders is produced and marked as **Annexure-T Colly.**

It is further stated that there are only two shareholders viz., CEIBA ECC Private Limited and its nominee shareholder Sri K.R.Somasekhar in the 3rd Applicant Company and they have given their consent for the amalgamation in writing. The list of shareholders duly certified by the Chartered Accountant is marked as **Annexure-N.** A copy of the consents given by the shareholders is produced herewith and marked as **Annexure-V Colly.**

It is further stated that there are Nil Secured Creditors in the 1st Applicant Company as certified by the Chartered Accountant shown as **Annexure-P**.

It is further stated that there are Nil Secured Creditors in the 2nd Applicant Company as certified by the Chartered Accountant shown as **Annexure-Q.**

It is further stated that there are Nil Secured Creditors in the 3rd Applicant Company as certified by the Chartered Accountant shown as **Annexure-R.**

It is further stated that there are two Unsecured Creditors in the 1st Applicant Company as certified by the Chartered Accountant shown as **Annexure-P.** The consent of the said Unsecured Creditors is shown as **Annexure-W Colly.**

It is further stated that there is one Unsecured Creditor in the 2nd Applicant Company as certified by the Chartered Accountant shown as **Annexure-Q.** The consent of the said Unsecured Creditor is shown as **Annexure-X.**

It is further stated that there are 24 Unsecured Creditors in the 3rd Applicant Company. The list of Unsecured Creditors duly certified by the Chartered Accountant is produced at **Annnexure-R.**

We have heard the Counsel appearing for the Applicant Companies i.e., MCML ELECTRICAL SYSTEMS PRIVATE LIMITED (Transferor Company), MCML TRAIN CONTROL TECHNOLOGIES PRIVATE LIMITED (Transferor Company) and MCML SYSTEMS PRIVATE LIMITED (Transferee Company). The 2nd Applicant Company which

is a Transferor Company has requested to direct that the meeting of Equity Shareholders be held for approving the Scheme of Amalgamation, where under McML Train Control Technologies Private Limited be merged with McML Systems Private Limited in terms of Scheme of Amalgamation shown as **Annexure-K.**

The 1st Applicant Company prays that the holding of the meeting of the Shareholders and the Unsecured Creditors may be dispensed with as the 100% shareholders as well as 100% of the Unsecured Creditors have given their approval in writing for the Scheme of amalgamation.

The 2nd Applicant Company is seeking an order to direct that the meeting of Equity Shareholders, of the 2nd Applicant Company be held for approving the Scheme of Amalgamation.

The 3rd Applicant Company is seeking an order to direct that the meeting of Unsecured Creditors of the 3rd Applicant Company be held for approving the Scheme of Amalgamation.

After hearing the counsel and after perusing the documents filed, we pass the following order:

The meeting of the Equity Shareholders of the 1st Applicant Company and the 3rd Applicant Company are dispensed with. The meeting of the Unsecured Creditors of the 1st and 2nd Applicant Company is also dispensed with.

The meeting of the Equity Shareholders of the 2nd Applicant Company be convened and held at Registered Office at C-9, KSSIDC Industrial Estate, Yelahanka, Bengaluru – 560 106, on Saturday the 27th February, 2018 at 11:00A.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of McML Train Control Technologies Private Limited with McML Systems Private Limited

Mr. G.Brahmananda Rao, Director failing whom Mr. Srinivas Sheshadri, Director as proposed by the 2nd Applicant Company is appointed as Chairperson and Sri Kirana K.R., Practising Company Secretary as Scrutinizer for the Meeting of Equity Shareholders. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20,000/- and Rs.10,000/- respectively for convening the meeting of Equity Shareholders.

The meeting of the Unsecured Creditors of the Applicant Company No.3 be convened and held at Registered Office at C-9, KSSIDC Industrial Estate, Yelahanka, Bengaluru – 560 106, on Saturday the 27th February, 2018 at 12:00 noon for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of McML Electrical Systems Private Limited (Transferor Company), McML Train Control Technologies Private Limited (Transferor Company) with McML Systems Private Limited (Transferee Company).

Mr. G.Brahmananda Rao, Director failing whom Mr. Srinivas Sheshadri, Director as proposed by the 3rd Applicant Company is appointed as Chairperson and Sri Kirana K.R., Practising Company Secretary as Scrutinizer for the Meeting of Equity Shareholders. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20,000/- and Rs.10,000/- respectively for convening the meeting of Equity Shareholders.

The quorum for the Meeting of Equity Shareholders is two as proposed by the Applicant Company.

The quorum for the Meeting of Unsecured Creditors is five fixed by the Tribunal.

The Notice of the Meeting of Equity Shareholders and Unsecured Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Udayavani".

The Applicant Company or its authorized signatory is directed to issue notice(s) to Equity Shareholders of 1st Applicant Company and Unsecured Creditors of 3rd Applicant Company by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Equity Shareholders and Unsecured Trade Creditors of Applicant Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Equity Shareholders and Unsecured Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of scheme of arrangement, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

The Applicant Company is directed at least 30 clear days before the Meeting of the Equity Shareholders and Unsecured Trade Creditors of the Applicant Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and

stating that copies of the Scheme of Arrangement and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

The Applicant Company to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Regional Director within 30 days of the date of receipt of the notice it will be presumed that Regional Director and/or Central Government has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Registrar of Companies, Karnataka within 30 days of the date of receipt of the notice it will be presumed that Registrar of Companies, Karnataka has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Income Tax Authority, within whose jurisdiction that Applicant Company's Assessment are made, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Income Tax Authority within 30 days of the date of receipt of the notice it will be presumed that Income Tax Authority has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Reserve Bank of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Reserve Bank of India within 30 days of the date of receipt of the notice it will be presumed that Reserve Bank of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Securities Exchange Board of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Securities Exchange Board of India within 30 days of the date of receipt of the notice it will be presumed that Securities Exchange Board of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the other Sectoral Regulators or Authorities, Stock Exchange if applicable, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from other Sectoral Regulators or Authorities, Stock Exchange within 30 days of the date of receipt of the notice it will be presumed that the other Sectoral Regulators or Authorities, Stock Exchange has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In any eventuality when the Applicant Companies approach this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the scheme of Arrangement to put forth their contentions before the Tribunal.

11/1/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

11/1/18

RATAKONDA MURALI)
MEMBER, JUDICIAL

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